

- Revision History 09/24/26
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HomeStyle Conforming & High Balance Fixed Program Guidelines (09/24/26)

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Table of Contents

Included in this section are:

- Summary
- Products
- Eligibility Matrix
- 4506-C / Tax Transcripts
- Appraisal
- Borrower Eligibility
- Calculating the Loan Amount and Maximum Mortgage Worksheet
- Change Orders and Contingency
- Contingency Reserve
- Contractor Requirements
- Cost of Improvements and Fees
- Credit
- Draw Process and Lien Waivers
- Eligible Improvements: Standard Program
- Eligible Improvements: Limited and Pool Program
- Employment Contracts
- Escrow Accounts
- Final Release Certification of Completions and Title Update
- Flood Insurance
- Geographic Restrictions
- HomeReady with HomeStyle
- HUD Consultant, WWU and Feasibility
- Ineligible
- Insurance: Property and Mortgage Insurance
- Loan Limits
- Manufactured Housing
- Materials Draw and Borrower Provided Materials
- Maximum Loans
- Mortgage Payment Reserves
- Plans and Specification of Repairs / Contractors Bid
- Property Eligibility
- Purchase Timing
- Rehabilitation Period
- Self Help Requirements
- Student Loan Debt Payoff
- Temporary Buydowns
- Texas Home Equity
- Transactions
- Underwriting Method
- Renovation Forms and Closing Documents

Summary

Fannie Mae Eligible HomeStyle standard conforming and high balance Fixed Rate program. All loans must meet Fannie Mae requirements.

Plaza also offers HomeStyle combined with HomeReady for qualifying credit worthy low-to-moderate-income borrowers.

For HomeStyle Energy, refer to Plaza’s Conforming Fixed program guidelines.

Products

Product Name	Product Code	Available Term in Months
HomeStyle Conforming 15 Yr	CF150HS	121-180
HomeStyle Conforming 30 Yr	CF300HS	181-360
HomeStyle High Balance 15 Yr	CF150SHSB	121-180
HomeStyle High Balance 30 Yr	CF300SHSB	181-360
HomeStyle HomeReady Conforming 15 Yr Fixed	CF150HSR	121-180
HomeStyle HomeReady Conforming 30 Yr Fixed	CF300HSR	181-360
HomeStyle HomeReady High Balance 15 Yr Fixed	CF150HSRHB	121-180
HomeStyle HomeReady High Balance 30 Yr Fixed	CF300HSRHB	181-360
HomeStyle Conforming 30 Yr Fixed w/2-1 Buydown	CF300HSBD21	360
HomeStyle Conforming 30 Yr Fixed w/1-0 Buydown	CF300HSBD10	360
HomeStyle High Balance 30 Yr Fixed w/2-1 Buydown	CF300SHSBBD21	360

HomeStyle High Balance 30 Yr Fixed w/1-0 Buydown	CF300HSHBBD10	360
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Eligibility Matrix

HomeStyle Conforming Balance Primary Residence Purchase and Rate/Term Refinance

Property Type	LTV	CLTV	Min Credit Score	Max DTI
1-Unit	97%	97%	620	Per DU & MI

Additional requirements for loans with LTV > 95%:

- High Balance loan amounts are not eligible.
- Must receive a DU Approve/Eligible.
- Purchase transactions: At least one borrower must be a first-time homebuyer or the loan must be a HomeReady loan.
- Rate/Term Refinance transactions: Existing mortgage must be a Fannie Mae loan. Refer to the Transactions section of these guidelines for more information on documenting Fannie Mae loans.
- All borrowers must occupy the property.
- Manufactured housing is not eligible.
- Max CLTV for a conforming balance loan with a Community Second is 105%

HomeStyle Conforming Balance				
Primary Residence				
Purchase and Rate/Term Refinance				
Property Type	LTV	CLTV	Min Credit Score	Max DTI
1-4 Unit	95%	95% ¹	620	Per DU & MI
Manufactured Housing	95%	95%	620	Per DU & MI

Second Home ²				
Purchase and Rate/Term Refinance				
1 Unit	90%	90%	620	Per DU & MI
Manufactured Housing (Multi-wide only)	90%	90%	620	Per DU & MI

Investment Property ²				
Purchase				
1 Unit	85%	85%	620	Per DU & MI
Investment Property ²				
Rate/Term Refinance				
1 Unit	75%	75%	620	Per DU

¹ Max CLTV for a conforming balance loan with a community second is 105%.

² HomeReady loans are not eligible for second homes or investment properties.

HomeStyle High Balance				
Primary Residence				
Purchase and Rate/Term Refinance				
Property Type	LTV	CLTV	Min Credit Score	Max DTI
1 Unit	95%	95%	620	Per DU & MI
2 Units	85%	85%	620	Per DU & MI
3-4 Units	75%	75%	620	Per DU

Second Home ¹				
Purchase and Rate/Term Refinance				

1 Unit	90%	90%	620	Per DU & MI
Investment Property1				
Purchase				
1 Unit	85%	85%	620	Per DU & MI
Investment Property1				
Rate/Term Refinance				
1 Unit	75%	75%	620	Per DU

1 HomeReady loans are not eligible for second homes or investment properties.

4506-C / Tax Transcripts

- A signed 4506-C for all years in which income was used in the underwriting decision are required
- IRS tax/W-2 transcripts are not required except in the circumstances outlined below:
 - Self-Employed Borrower or income verified with tax returns (e.g., rental income, capital gains, etc.)
 - Handwritten paystubs
 - Borrower employed by a family member
 - There is a relationship between the parties to the transaction
 - Borrower is employed by the Originator Company

Appraisal

Establishing Value:

Appraisal requirements per the final DU Underwriting Findings report and Fannie Mae Selling Guide.

- The appraisal must provide an “as completed” value (subject to repairs/plans and specs).
- The appraisal must include a finalized copy of the plans, specs, contractors bid and project review if one is required.
- Any appraiser required or recommended repairs must be added to the plans and specs.
- Following completion of the renovation work (after closing), the borrower must obtain a certification of completion stating that the renovation was completed in accordance with the submitted plans and specs. The certification must be documented on the Appraisal Update and/or Completion Report (Form 1004D).

Transferred Appraisals: Transferred appraisals are allowed.

Borrower Eligibility

Ineligible Borrowers:

- Partnerships
- Corporations
- Guardianships
- Life Estates
- LLCs
- Non-Revocable Inter Vivos Trusts
- Foreign nationals
- Borrowers with diplomatic immunity

Social Security Number

- Each borrower on the loan transaction must have a valid Social Security number.
- ITIN (IRS Tax Identification Numbers) are not allowed.

Calculating the Loan Amount and Maximum Mortgage Worksheet

The HomeStyle Renovation Maximum Mortgage Worksheet Form 1035 must be used to determine the maximum allowable mortgage amount. The cost of renovations is limited to the lesser of \$200,000 or 75% (50% for manufactured homes) of the “as completed” value.

Purchase:

The LTV is based on the lesser of the purchase price plus cost of renovation, or the “As-Completed” value.

Rate/Term Refinance:

- The LTV is determined by dividing the loan amount by the as completed appraised value of the property.
- Borrower may not receive cash back at closing in any amount, principal curtailment at closing is also not allowed. (Fannie Mae standard limited cash-out refinance of 2% or \$2,000 is not permitted).
- Excess funds if any, after renovations are completed, may be applied to the loan balance as a principal reduction or may be reimbursed to the borrower for the cost of actual supplies or additional renovations for which paid receipts are provided. The value of sweat equity may not be reimbursed.

Change Orders and Contingency

The following must be pre-approved by Plaza:

- Changes made to the project, contractor or HUD Consultant.
- Rehabilitation period extensions.
- Use of the Contingency Fund.
- Change orders may not be accepted until a percentage of the project is complete.

The borrower must pay out of pocket any changes not covered by the financing or pre-approved. To request a change for approval, submit the HomeStyle Change Order Request Form 1200 to Plaza's Customer Service / Loan Servicing Department.

Customer Service / Loan Servicing

Phone: 1-888-807-2620, option 3

Fax: 1-858-332-1861

Email: renoservicing@plazahomemortgage.com

Contingency Reserve

The purpose of a contingency reserve is to cover required unforeseen repairs that are discovered during the renovation. The contingency reserve is a required renovation cost and is typically financed in the loan amount (Financed Contingency). Alternately, the borrower may bring funds to closing to fund the contingency reserve; however, any assets required to fund the contingency must be documented and verified above the amount required for down payment and reserves (Borrower Funded Contingency).

- The contingency is calculated as a percent of the cost of labor, materials and soft costs.
- A minimum of a 10% and maximum of 15% contingency reserve is required. 15% is required if the utilities are off, the home has been without utilities for an extended period of time, is uninhabitable or if there is water, mold or fire damage.
- The contingency reserve may be released only if unforeseen required and necessary repairs or deficiencies are discovered during the renovation/construction.
- If contingency reserve funds remain at the completion of renovation, they may be used for making improvements or repairs that are permanently affixed to the real property. Funds may not be used to purchase personal property.
 - All work described in the plans and specifications must have been completed.
 - Any work paid from contingency funds must be approved by Plaza in advance, documented as completed and having improved real property.
- Unused Contingency funds will be applied to the outstanding balance of the renovation mortgage balance once the renovation work has been completed and the certification of completion has been obtained.
- Unused Borrower Funded Contingency funds will be refunded to the borrowers once the renovation work has been completed and the certification of completion has been obtained.

Contractor Requirements

Contractor:

The contractor is chosen by the borrower. However, the lender must be able to determine that the contractor is qualified, properly registered (with local issuing authority) and experienced for the work being performed.

Plaza will verify the following required documentation to assist in making the determination that the contractor is qualified:

- License, bond, insurance (\$1 MM min) (or local issuing authority requirements), and a current W-9.
- Contractor Profile Report (Form 1202). Including demonstrated experience in renovation lending and a minimum of three references of similar work in cost and nature completed within the last 12 months. Plaza will verify references.
- Document a demonstrated financial ability to sustain projects.
- If mold abatement, lead-based paint abatement or radon abatement, the contractor must be licensed under those specific trades.
- Plaza, at its discretion, may run a background report on contractors.
- Only one general contractor is allowed.

Renovation Contract:

Borrowers must have a renovation contract with their contractor and the contractor must agree to indemnify the borrower for all property losses or damages caused by its employees or sub-contractors. Fannie Mae Renovation Contract Form 3730 is a required form.

Cost of Improvements and Fees

Renovation Costs and Fees:

Renovation costs consist of the cost of improvements plus the costs of associated fees. Renovation costs are limited to 75% (50% for manufactured homes) of the “as completed” appraised value of the home.

Improvement Costs and Eligible Fees:

- Labor and materials
- Property inspection fees
- Permits and licenses
- Mortgage Payment Reserves (See Mortgage Payment Reserves)
- Contingency Reserve (See Contingency Reserves)
- Title update fee (\$200).
- Draw Inspection Fee: HUD Consultant will set the fee amount per draw inspection (e.g. 5 draws x HUD Consultant fee of \$350 per draw = \$1750 total)
- HUD Consultant Work Write Up fee
- Architectural and engineering fees
- Other project related fees (e.g. home energy rating report, landscaping designer, geological study, mold inspection)

Refer to Plaza’s TRID HomeStyle Fee Matrix.

Credit

Qualifying Credit Score:

- A tri-merge credit report is required.
- The qualifying score is the lower of two or the middle of three scores.
- The lowest qualifying score of all applicants is used to qualify.
- At least one borrower must have a valid credit score.

Draw Process and Lien Waivers

Draw Process:

- Up to five draws are allowed.
- Draws are advanced only upon completion of work as evidenced by the HUD Consultant inspection.
- Draws will not be approved for work that is not yet complete, including not yet installed materials.
- Plaza will setup an interest-bearing repair escrow account, to fund the remaining disbursement. Any interest earned is applied as a principal reduction to the loan.
- Lien Waivers must be provided at the time of each draw, FNMA Form 3739 may be used.
- If an occupancy certification is required, this must be provided prior to the issuance of the Final Release Notice.
- A 10% holdback is required on each draw release. The total of all holdbacks may be released only after the final inspection and issuance of the Final Release Notice is received from the borrower, HUD Consultant and inspector, as applicable.
- Plaza will order a final inspection by the original appraiser.
- Title must be cleared before the final draw.
- Funds will be made available via a two-party check of EFT payable to the borrower and contractor.
- Any health and safety items notated in the final inspection must be remedied, regardless of scope of work

Borrowers will have direct access to and are encouraged to communicate directly with Plaza’s Reno Servicing department. Borrowers should contact Plaza Reno Servicing with any questions, change orders or draw requests on their funded HomeStyle loan.

Customer Service / Loan Servicing

Phone: 1-888-807-2620, option 3

Fax: 1-858-332-1861

Email: renoservicing@plazahomemortgage.com

Eligible Improvements: Standard Program

Eligible Improvements:

- All repairs must be permanently affixed to the property (dwelling or land).
- All appraiser notated deficiencies and required repairs must be completed.
- There is no minimum dollar amount for repairs.

Ineligible Improvements:

- Repairs that cannot be completed in 12 months.
- Projects greater than \$200,000.
- Homes that will be demolished to the ground or foundation as part of the rehabilitation.
- Existing foundation up construction.
- Moving a house from another location onto the subject property.
- Improvements that result in commercial use or are commercial in nature.
- SFR dwelling conversions to 2-4 unit property or 2-4 unit properties converted to SFR dwelling.
- Oil Tank repairs or replacement

Accessory Dwelling Units (ADU):

- Only one ADU is permitted on the parcel of the primary one-unit dwelling.
- ADUs are not permitted with a two- to four-unit dwelling.
- Construction or repair of ADUs is permitted provided the unit is in adherence with existing local zoning and applicable building code requirements.
- Comparable properties with like ADUs must be provided as part of the appraisal report.

Outdoor Buildings (garages, recreation rooms, pools):

- Construction or repairs of outdoor buildings and structures are permitted provided the structure is in adherence with existing local zoning and applicable building code requirements.
- Comparable properties with like outdoor buildings must be provided as part of the appraisal report.

Final Work on Newly Constructed Homes:

- Funds may be used to complete the final work on a newly constructed home when the home is at least 90% complete.
- The remaining improvements must be related to completing non-structural items. Typical work would include installation of buyer-selected items such as flooring, cabinets, kitchen appliances, fixtures, and trim.

Appliances:

The cost of appliances is allowable when the appliances are being purchased in conjunction with an overall remodeling project that includes substantial changes or upgrades to the rooms in which the appliances are placed.

Improvements to Manufactured Housing:

- Improvements cannot involve structural changes or alter the structure of the unit.
- Renovation funds are limited to the lesser of 50% of the “as completed” appraised value or \$50,000 including fees and contingency.

Eligible Improvements: Limited and Pool Program

HomeStyle Limited:

For smaller projects that meet the following requirements, reduced documentation is allowed:

- Total project cost, including contingency and construction related fees not to exceed \$50,000.
- Project must be completed using, at maximum, a materials draw and a final single draw at completion of construction. Note: A materials draw at closing is not required.
- Materials draw at closing of up to the lesser of 50% of materials or \$25,000 may be advanced for materials required by the specification of repairs/contractors bid.
- The specifications/contractors bid must clearly document on the contractors bid the exact type of materials and exact costs for which funds are to be advanced.
- The appraiser will perform the single final inspection.
- Fee: 2 x \$150 for cost of inspections.
- HUD Consultant is not required.
- Structural work is not allowed

HomeStyle Pool Program:

Projects consisting of only a pool installation may follow the reduced requirements below.

- This reduced documentation is only applicable when the project consists only of a pool, pool decking, and/or any fencing or netting immediately surrounding the pool.
- The lesser of \$15,000 or 25% of the total project cost may be advanced at closing for material costs for items ordered and not yet paid for.
- While all work to be performed must be fully described, bids are not required to separate labor and material costs.
- While permits must still be obtained and referenced, an itemized listing of all permits and their costs is also not required.
- Plaza will fund each draw in its entirety and not withhold 10% of the draw.

Employment Contracts

DU loans must meet Fannie Mae requirements:

- Plaza only allows Fannie Mae's Option 2. Refer to Fannie Mae's Selling Guide B3-3.1-09 Employment Offers or Contracts.

Escrow Accounts

- Escrow waivers are not permitted for LTV > 90%
- Impounds should not be waived for borrowers with blemished credit histories or first-time homeowners
- Escrow deposits for the payment of premiums for mortgage insurance may not be waived

Final Release Certification of Completions and Title Update

Certification of Completion:

Following completion of the renovation work (after closing), the borrower must obtain a certification of completion stating that the renovation was completed in accordance with the plans and specifications. The certification must be documented on the Appraisal Update and/or Completion Report (Form 1004D). Any health and safety items notated at time of final inspection must be remedied.

Title Update and Lien Releases at Final Disbursement:

Concurrent with the last disbursement of funds, Plaza must obtain a title update through the date the renovation was completed, thus ensuring the continuance of first lien priority and the absence of any mechanics' or materialmen's liens.

When the property is located in a state in which contractors', subcontractors', or materialmen's liens have priority over mortgage liens, Plaza will require all necessary lien releases or take any other action that may be required to ensure that the title to the property is clear of all liens and encumbrances.

Flood Insurance

When flood insurance is required, an escrow account must be established for flood insurance premiums.

Geographic Restrictions

Hawaii: Properties in Lava Flow Zones 1 or 2 are not allowed.

West Virginia: Delegated deliveries only.

HomeReady with HomeStyle

For qualifying credit worthy low-to-moderate-income borrowers, HomeReady expanded eligibility may be combined with HomeStyle. If a transaction includes a combination of HomeStyle, HomeReady and manufactured housing, the more restrictive eligibility requirements of each of those transactions apply. DU will recognize these combinations and apply the applicable eligibility requirements. A summary of HomeReady differences are listed here; however, refer to Fannie Mae's Selling Guide for complete guidelines.

- The applicable HomeStyle HomeReady product code must be used to identify the loan.
- Primary residences only.
- Borrower income may not exceed 80% of Area Median Income (AMI) for the property's location (this includes properties in low-income census tracts). DU will also provide income eligibility based on the property address input in DU. If DU is not able to identify the census tract based on the property address, DU will allow the user to input the FIPS code and re-submit DU. The FIPS code can be found using the HomeReady Income Eligibility Lookup.
- Borrowers may not have an ownership interest in more than two financed residential properties, including the subject property, as of the Note Date.
- DU must specify the loan is eligible to be delivered as a HomeReady loan in addition to HomeStyle eligibility.
- Homeownership education is required on all purchase transactions:
 - At least one borrower must receive the education
 - Must be received prior to the loan being cleared to close
 - Borrowers must complete a National Industry Standards (NIS) compliant course to satisfy the pre-purchase homeownership education requirements. Borrowers may choose one of the options listed below:
 1. HomeView.
 - The course is available free of charge to the borrower.
 - Complete the online education program course provided on Fannie Mae's website. The borrower must complete all 7 course modules. Retain the certificate of course completion in the loan file.
 - DU: Select Homebuyer Education complete in The Homebuyer Education Completion Indicator field in DU.

2. Framework.
 - Complete the online education program provided by Framework Homeownership LLC (Framework®). Retain the certificate of course completion in the loan file.
 - DU: Select Homebuyer Education complete in The Homebuyer Education Completion Indicator field in DU.
 3. One-on-one HUD approved Counseling. Complete a one-on-one pre-purchase education counseling session from a HUD-approved nonprofit counseling agency. HUD-approved agencies can be located on Fannie Mae's website.
 - DU: Select One-on-one counseling complete in The Homebuyer Education Completion Indicator field in DU.
 - Special Feature Code (SFC) 184 is required (must display on DU findings and be input in LOS).
 4. Community Second/DAP. If the loan is part of a Community Second/DAP transaction, and that program requires its own homeownership education course provided by a HUD-approved counseling agency, Plaza will accept the Certificate issued by HUD-approved agency that provided the course.
- Reduced Mortgage Insurance coverage requirements apply.

Mortgage Insurance Coverage

LTV Ranges	15 Year Term Excluding Manufactured Housing	30 Year Term & All Terms Manufactured Housing
95.01 – 97%	25%	25%
90.01 – 95%	25%	25%
85.01 – 90%	12%	25%
80.01 – 85%	6%	12%

- Boarder income and income from Accessory Dwelling Units may be acceptable. Refer to HomeReady guidelines for specific requirements.
- Special Feature Codes:
 - 900 – required on all HomeReady loans
 - 118 – community second
 - 184 – Required when HUD-approved one-on-one counseling is completed.

\$2,500 VLIP Credit: Borrowers with total qualifying income less than or equal to 50% of the area median income qualify for a \$2,500 credit on purchase transactions.

- The full amount of the credit must be provided directly to the borrower through the transaction, such as being applied to down payment and closing costs, including escrows and mortgage insurance premiums.
- The credit may be used to satisfy the 3% minimum contribution for all one-unit properties or for two- to four-unit properties with LTV less than or equal to 80%.
- For two- to four-unit properties with LTV greater than 80%, the credit may be applied to down payment after the 5% minimum contribution is met.
- DU: The \$2,500 credit should be reflected as a Grant asset on the application and in DU.
- Plaza will reimburse clients at time of purchase for eligible credits applied.
- Special Feature Code 884 must be selected in LINQ.

HUD Consultant, WWU and Feasibility

HUD Consultant:

Plaza requires the use of a HUD Consultant to complete the inspections for each draw. A HUD Consultant may also be required to perform a WWU, depending on the size and type of product – see Work Write Up (WWU) for when a WWU is required. Approved HUD Consultants may be found on HUD's website using the consultant window lookup feature.

- The HUD Consultant must be selected by the borrower.
- The HUD Consultant must perform the draw inspections.
- The HUD Consultant must be made aware that the loan being applied for is a Fannie Mae HomeStyle.
- The HUD Consultant must provide an invoice and a W-9.
- HomeStyle Limited does not require a HUD Consultant; see Eligible Improvements – Standard Program for details.

Work Write Up (WWU):

- A Work Write Up or project review is required for projects equal to or greater than \$75,000.
- Depending on the project type an Underwriter may request a Work Write Up or project review on projects less than \$75,000 (e.g. heavy structural work or mold, fire or water damaged homes)

HUD Consultant Feasibility Study:

- At the request of the borrower, a HUD Consultant may also provide a Feasibility Study.
- Plaza does not require a Feasibility Study unless the borrower has requested one. If a Feasibility Study is performed to determine the project is financially feasible, a copy of the study must be provided in the loan file regardless if the cost is financed.
- A feasibility study is an allowed eligible cost. This fee is in addition to the cost of the WWU.

Ineligible

- No relationship may exist between the Contractor and any other party to the transaction.
- Borrower may not act as an interested party to a sales transaction for the subject if the builder and/or property seller is a company owned by the borrower or where the borrower is a principal agent, sales agent, loan originator, mortgage broker or partner for the builder or property seller.
- Realtor/loan broker acting as the listing agent as well as the mortgage originator/broker.
- Borrower is a principal of the title company and/or settlement agent for the subject transaction.
- One-time close construction

Insurance: Property and Mortgage Insurance**Property Insurance:**

Hazard insurance must cover the estimated as-completed value of the home after renovation.

At the completion of renovation work, the borrower must provide a certification from the insurance company regarding the adequacy of the property insurance. The certification must confirm that the coverage has been increased, if necessary, to comply with Fannie Mae's standard property and flood insurance requirements.

Mortgage Insurance:

Standard MI coverage is required regardless of AUS findings; custom or reduced MI is not eligible.

Loan Limits

Standard conforming and high balance loan limits. Max loan amount up to \$845,000 (\$1,267,500 for HI/AK) allowed for baseline conforming loan limit.

Manufactured Housing**General Manufactured Housing Requirements:**

- Must be classified as Real Property
- Single-wide and multi-wide allowed
- Single-wide Manufactured Homes:
 - Loans are limited to primary residence only
 - Manufactured homes must be at least 12 feet wide and have a minimum 400 square feet of gross living area
 - Single-wide manufactured homes in PUD projects require PERS approval
- Manufactured homes must have been built on or after June 15, 1976
- Condos: Manufactured homes in condo projects require PERS approval
- The manufactured home may not have been previously installed or occupied at another location
- All manufactured homes must meet Fannie Mae guidelines and the restrictions in these program guidelines.
- Leasehold properties are ineligible
- Refer to Eligible Improvements – Standard Program for eligible Manufactured Housing improvements.

Materials Draw and Borrower Provided Materials**Materials Draw:**

- At closing a draw of up to the lesser of 50% of materials or \$37,500 may be advanced for materials required by the specification of repairs/contractors bid.
- The specification/contractors bid must clearly document on the contractors bid the exact type of materials and exact costs for which funds are to be advanced.
- Checks will be made payable to the borrower and contractor.
- A materials draw is not included in the allowable number of draws (max 5 draws).

Borrower Provided Materials:

- Materials provided by the borrower may be allowed but cannot be financed in the loan amount.
- All materials provided by the borrower must be new from the manufacturer and be documented with paid invoices.
- Source of funds to acquire the materials must be documented.
- The Consultant must provide photos of the borrower provided materials.

Maximum Loans

A maximum of four Plaza loans is permitted to one borrower.

Mortgage Payment Reserves

A payment reserve of up to six months PITI is permitted when the borrower must vacate the property during renovation.

- Eligible for primary residence properties only.
- The amount can be financed in the loan amount if the value will support such financing.
- The reserve is allowed only for the period in which the property is uninhabitable due to the renovations.
- Any remaining reserves will be used to pay down the principal balance on the loan.
- Not allowed for multi-unit properties.

Plans and Specification of Repairs / Contractors Bid

Plans and Specifications / Contractor Bid requirements:

- Must be prepared by a registered, licensed, or certified general contractor or renovation consultant.
- Must be provided on contractor's letterhead or on Plaza's bid template form.
- Fully describe and itemize the specific work that the contractor agrees to perform for the borrower.
- Include quality of materials, location of work and labor and materials cost separated for each of the repairs.
- Include an itemized listing of all permits and their corresponding costs.
- Include an itemized description (Draw Schedule) establishing the schedule for completing each stage of work and corresponding payments (including both the start and job completion dates), max 5 draws.
- Identify all subcontractors and suppliers.
- Include all contractors and borrower's information, address, phone and email.
- If a Materials Draw is being provided at closing, an exact detail of type of materials and exact amount per item must be detailed on the bid (Refer to Materials Draw section)
- Executed by both the contractor and the borrower.

Architectural exhibits and or a structural engineer report (Plaza to determine at time of project review) will also be required for certain types of work, e.g.: additions, structural reconfiguration, water, fire, storm damaged properties, load bearing changes, major structural or foundation work.

Plaza's Contractors Bid Template FM-433 is recommended.

Property Eligibility

Ineligible Properties:

- 2-4 unit investment properties
- Commercial properties
- Condotels
- Properties listed on a Historical Register
- Cooperatives
- Geothermal homes
- Mobile homes
- Non-warrantable condos
- Timeshares
- Working farms, ranches, orchards
- Community Land Trusts

Condominiums:

- The renovation must be permissible under the bylaws of the homeowners' association and the homeowners' association must provide written approval.
- The renovation work must be limited to the interior of the unit.

Purchase Timing

Plaza must be prepared to service the borrowers' first draw request which means Plaza must first purchase the HomeStyle loan and board it onto our servicing system. In order to facilitate timely draw management, Plaza requires all HomeStyle loans to be delivered in purchasable condition as soon as possible after closing and the loans should be purchased by Plaza no later than 45 days after the date the loan closes with the borrower. An exception will be required to purchase a loan greater than 45 days from closing and Plaza cannot guarantee that such exception will be granted.

If a HomeStyle loan is not delivered in purchasable condition no later than 20 days after closing (to be purchased within 45 days), Plaza reserves the right to deny purchasing the loan regardless if all other conditions could have been met greater than 30 days after closing

Plaza will not purchase HomeStyle loans where a draw has already been advanced to the borrower or contractor.

Rehabilitation Period

- Renovation work must be completed within 12 months after closing.
- Consideration should be given to cold climate and weather-related delays that could impact the rehabilitation period.
- Renovation work must begin within 30 days of closing. If work has not started within 30 days, stops for more than 30 consecutive days, or has not been completed within the established time frame or extended Plaza approved time frame, Plaza may consider the loan to be in default.
- Plaza to approve in advance any work/project changes or extensions.

Self Help Requirements

Not allowed.

Student Loan Debt Payoff

Not allowed.

Temporary Buydowns

Temporary Buydowns are eligible subject to the following:

- 2-1 and 1-0 buydowns are offered
- Purchase or Rate/Term Refinance
- Primary Residence or Second Home
- Qualify at the note rate
- Texas Section 50(a)(6) loans are ineligible
- Funds may come from the lender, borrower, seller or other eligible interested party
- Interested Party Contribution (IPC) limits apply when the source of funds is party to the transaction
- Rate/Term refinances where the buydown plan is funded from lender credit derived from an increase in the interest rate are ineligible
- Buydown Agreement must be included in the loan file

Texas Home Equity

Texas Section 50(a)(6) loans are not eligible.

Transactions

- Purchase
- Rate/Term Refinance

Rate/Term Refinances > 95% LTV:

Rate/Term refinances with LTV > 95% are eligible only when the loan being refinanced can be documented as a Fannie Mae owned or securitized loan.

Documentation may come from any of the sources below:

- The lender's servicing system,
- The current servicer (if the lender is not the servicer), OR
- Fannie Mae's Loan Lookup tool

Rate/Term Refinances of properties owned free and clear are acceptable when:

Mortgage proceeds are used to finance only eligible renovations and the borrower may not receive any money back at closing.

Ineligible Transaction Types:

- Cash out Refinances
- Texas Section 50(a)(6)
- Properties listed for sale at time of application
- Builder spec foreclosures

DU: DU input must indicate "Fannie Mae" in the Owner of Existing Mortgage field on the online loan application. In the Desktop Originator® (DO®)/DU User Interface, this field is located on the Additional Data screen in the Full 1003. This indication will be used by DU to determine eligibility of the loan for delivery to Fannie Mae when the LTV, CLTV or HCLTV exceed 95%. The loan file must be documented evidencing the loan being refinanced is currently owned by Fannie Mae.

Underwriting Method

Loans must be underwritten by Desktop Underwriter (DU) and receive an Approve/Eligible recommendation. Loans receiving an Approve/Ineligible recommendation are allowed only where ineligible is issued solely due to loan amount.

Fannie Mae Special Feature Code: 215 HomeStyle Renovation loan with recourse.

Manual Underwriting:

Manual underwriting is only permitted when:

- The subject property is a primary residence, and
- where there is documented erroneous credit reported on the credit report and DU Findings.

The following are not eligible for manual underwriting:

- High Balance transactions
- LTV/CLTV > 95%
- Second home and investment properties
- Manufactured Housing
- Loans where not all borrowers have a valid credit score

Renovation Forms and Closing Documents

Fannie Mae standard loan instruments are used in addition to the required renovation forms listed below. Models can be found on Plaza's and Fannie Mae's website. The use of Fannie Mae Renovation Forms is required.

Forms Required for Submission	Closing Docs and Disclosures	Servicing Forms
1035 - HomeStyle Renovation Maximum Mortgage Worksheet	3731 – Renovation Loan Agreement	HomeStyle Draw Request FM-477
1202 - Contractor Profile Report	HomeStyle Draw Request FM-477	1200 - HomeStyle Change Order Request
3730 – Renovation Contract	3732 - Multistate Renovation Loan Rider	3739 - Lien Waiver (to be completed with each draw)
W-9 (for Contractor and HUD Consultant)	3733 - Multistate Investor Rider	Materials Draw Request FM-580